

Employment Hero | Employing in Philippines – What You Need to Know

What does the EOR handle for you?

- Employment contracts — compliant Philippine labour contracts
- Monthly payroll — salary payments in PHP, payslips and bank transfers
- Tax withholding — income tax deducted and remitted on your behalf
- SSS, PhilHealth & Pag-IBIG enrolment and contributions
- Work permits — sponsorship and support for foreign national hires
- Leave and termination management — notice periods, entitlements and separation pay

Employment Conditions

Contracts & Probation

Employees must receive a written employment contract outlining salary, probation period, work hours and leave entitlements. Probation periods can be up to 6 months.

Role Type	Maximum Probation
Most employees	6 months
Probationary employees	Can terminate without severance

Working Hours & Overtime

Standard working hours are 48 hours per week, typically across 5–6 working days.

When Worked	Pay Rate
Overtime	125% minimum
Rest day	130%
Public holiday	200%
Night shift	+10% differential

Minimum Wage (2026)

Minimum wages vary by region across the Philippines.

Region	Indicative Daily Minimum Wage
Metro Manila (NCR)	PHP 695/day
Regional provinces	PHP 455–580/day

Leave Entitlements

Leave Type	Entitlement	Who Pays
Annual Leave	5 days after 1 year	Employer
Maternity Leave	105 days	Government / SSS
Paternity Leave	7 days	Employer

Disclaimer: This document is current as at May 2026 and has been prepared by Employment Hero Pty Ltd. It is general information only and should not be relied on as professional or legal advice.

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Public Holidays	14–18 days	Employer
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HERO TIP

The Philippines legally requires 13th month pay. This is equivalent to 8.33% of annual base salary and is typically paid before December 24.

Payroll, Tax & Contributions

Contribution	Employer Contribution
SSS	Approx. 10%
PhilHealth	Approx. 2.5%
Pag-IBIG	Approx. 2%
Total	~14.5%

Total Cost Example – USD \$1,500 Gross Salary

Cost Item	Amount (USD)
Gross salary	\$1,500
Employer contributions	~\$75
13th month accrual	\$125
EOR service fee	\$300–600
Estimated total monthly cost	~\$2,000–2,300

Employee deductions include SSS, PhilHealth, Pag-IBIG and progressive income tax withholding.

Termination & Separation

Notice Periods

Employee Type	Notice Required
Permanent employee	30 days
Probationary employee	None required
Resignation by employee	30 days recommended

Final pay, unused leave and 13th month accruals are generally processed shortly after termination.

Separation Pay

Separation pay may apply for redundancies, retrenchments or authorised terminations under Philippine labour law.

Years of Service	Indicative Separation Pay
1 year	1 month salary
3 years	3 months salary
5 years	5 months salary

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HERO TIP

Employees terminated for serious misconduct are generally not entitled to separation pay. Always consult your EOR before initiating termination.

Income Tax

Personal income tax is withheld monthly and remitted by the EOR to the Bureau of Internal Revenue (BIR).

Annual Taxable Income (PHP)	Tax Rate
Up to PHP 250,000	0%
PHP 250,001 – 400,000	15%
PHP 400,001 – 800,000	20%
PHP 800,001 – 2,000,000	25%
Above PHP 2,000,000	30–35%

Public Holidays 2026

The Philippines observes approximately 14–18 public holidays annually depending on official proclamations.

Date	Holiday
1 January	New Year's Day
9 April	Day of Valor
12 June	Independence Day
25 December	Christmas Day
30 December	Rizal Day

Ready to hire in the Philippines?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Philippines employee in as little as one week.